

Omani Vegetable Oils registers impressive growth

KAUSHALENDRA SINGH
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Formed some ten years ago with a vision to provide the highest quality edible oils to the Sultanate residents, the Omani Vegetable Oils & Derivatives Co LLC (OVOD) has its presence in 20 countries across the Middle East and Africa (MEA) region. The company's export contributes to 75 per cent of its volume and the trend is increasing year on year basis.

A leading cooking oil supplier OVOD is maintaining consistent performance. Despite economic slowdown the company's sales volume has seen impressive growth in 2017 and it has drawn long-term and short-term strategic framework to ensure sustainable growth in the coming years.

In an interview with *Observer PS Kumar*, (pictured) Chief Executive Officer (CEO) of the company, gave an outline of the company's growth



journey and the niche areas in which OVOD operates.

Commenting on the current market scenario Kumar said OVOD was successful in delivering a consistent performance for the first ten months of 2017.

"Despite the economic slowdown prevailing in GCC on account of lower oil prices and sanctions imposed on Qatar, we were able to make a 29 per cent growth in our sales volume when compared to previous year which is



well above the industry average of 5 to 7 per cent. Exports contribute to 75 per cent of our volumes and this is showing an increasing trend year on year."

The OVOD, according to him, is expecting organic growth in the coming years as the company has drawn up long-term and short-

term strategic frame work as part of developing the business and has already spent \$8 million in the last five years to upgrade the facilities so as to meet the growing demand for its products.

The Omani vegetable oil company's growth in export markets is also very much on the agenda. "After

stabilising the business in Oman, the company started expanding its GCC footprint, initially by starting a 100 per cent subsidiary in the UAE in 2012 with multiple warehouses in Dubai, Ajman and Abu Dhabi. As Saudi Arabia's population started growing, the management started another subsidiary in the Kingdom in 2013. The company also opened two warehousing facilities — one in Riyadh, one in Jeddah — and efforts are being made to open a third such facility in the coming months in Dammam. Plans are also under way to open similar facilities in Kuwait, Qatar and Bahrain by 2019," he said.

The OVOD is a successful experiment of a consortium as over a decade ago three prominent Omani enterprises — Dhofar Cattle Feed, Dhofar Insurance and Dhofar International Development and Investments Holdings — formed a consortium and set up Omani

Vegetable Oils and Derivatives Co LLC (OVOD) in Salalah in the southern part of Oman.

There is no looking back since its inception and the company is planning to explore new areas to sustain its businesses and grow in a planned manner.

"Fast moving consumer goods (FMCG) category market is a very dynamic one therefore we have a systematic approach towards the innovation process which cater the market demand. Primarily the innovation process is aiming for production cost optimisation and reduction, quality improvement in terms of product and package quality and speed and quality of service to the trade. The functional managers are responsible to compile the ideas and work out the beneficiary part of it through Kaizen process. We have been regularly taken up multiple kaizen — innovation projects," Kumar said.